

COMPANY LAW

LLB 3rd Semester

Important Questions & Answers

(15 Marks Each)

Based on Companies Act, 2013

Q1. Define Company. Discuss the Various Characteristics of a Company.

Definition:

A company is defined under Section 2(20) of the Companies Act, 2013 as "a company incorporated under this Act or under any previous company law." It is a voluntary association of persons formed for a common purpose, having a separate legal entity, perpetual succession, and a common seal.

Lord Justice Lindley: "An association of many persons who contribute money or money's worth to a common stock and employ it in some trade or business, and who share the profit and loss arising therefrom."

Characteristics of a Company:

1. Separate Legal Entity (Corporate Personality)

A company has a legal identity separate from its members. It can own property, enter contracts, sue and be sued in its own name.

Landmark Case: *Salomon v. Salomon & Co. (1897)* - The House of Lords held that a company is a separate person distinct from its members, even if one person holds virtually all the shares.

2. Limited Liability

The liability of members is limited to the extent of the unpaid amount on their shares (company limited by shares) or the amount guaranteed (company limited by guarantee). Personal assets of members are not at risk.

3. Perpetual Succession

A company continues to exist irrespective of changes in its membership. Death, insolvency, or retirement of members does not affect the company's existence. "Members may come and go, but the company goes on forever."

4. Common Seal

The common seal is the official signature of the company. Any document bearing the common seal and duly witnessed is binding on the company. (Note: Under the 2013 Act, having a common seal is now optional.)

5. Transferability of Shares

Shares of a company (especially public company) are freely transferable. Section 44 of the Companies Act, 2013 provides that shares are movable property transferable in the manner provided by the Articles.

6. Separate Property

A company can own, enjoy, and dispose of property in its own name. Members have no direct ownership of company property.

Case: *Macaura v. Northern Assurance Co. (1925)* - A shareholder could not insure company property in his own name.

7. Capacity to Sue and Be Sued

A company can sue others and be sued in its own name, being a legal person.

8. Artificial Legal Person

A company is an artificial person created by law. It has no physical existence but possesses legal rights and obligations.

9. Voluntary Association

A company is formed by voluntary agreement of persons (minimum 2 for private, 7 for public company).

10. Statutory Regulation

A company is governed by the provisions of the Companies Act, 2013, and its internal regulations (MOA and AOA).

Lifting/Piercing the Corporate Veil:

In exceptional cases, courts look behind the corporate personality - in cases of fraud, tax evasion, improper conduct, or enemy character.

Case: Gilford Motor Co. v. Horne (1933) - Veil was lifted where company was used as a device to evade contractual obligations.

Q2. Explain the Doctrine of Ultra Vires with Suitable Examples.

Meaning:

The term "Ultra Vires" literally means "beyond the powers." In company law, it refers to acts done by a company which are beyond the scope of powers granted by its Memorandum of Association (Objects Clause). Any such act is void ab initio and cannot be ratified even by unanimous consent of all shareholders.

Landmark Case:

Ashbury Railway Carriage & Iron Co. v. Riche (1875)

The company's MOA authorized it to make, sell, and lend on hire railway carriages. The company entered into a contract to finance the construction of a railway line in Belgium. Held: The contract was ultra vires the company and void. Even unanimous shareholder approval could not validate it.

Categories of Ultra Vires Acts:

- **Ultra vires the Companies Act:** These are acts that go beyond the powers permitted by the Companies Act itself. Such acts are absolutely void and illegal. Neither the company nor any majority of shareholders can validate or ratify them. Example: A company cannot exclude statutory rights of shareholders mandated by the Act.
- **Ultra vires the Memorandum:** These are acts that go beyond the objects or powers stated in the company's Memorandum of Association (MOA). Since the MOA is the charter of the company, any act beyond it is void ab initio (void from the beginning). Even unanimous consent of ALL shareholders cannot ratify such acts. Example: A company formed to run a textile business cannot invest in real estate unless stated in its objects clause.
- **Ultra vires the Articles:** These are acts that go beyond the internal rules laid down in the Articles of Association (AOA), but are NOT beyond the MOA or the Act. Since the AOA can be altered by the company, such acts CAN be ratified by passing a special resolution to amend the articles. Example: A director borrowing money beyond the limit set in the articles - this can be regularized by altering that limit in the AOA.
- **Ultra vires the Directors:** These are acts done by directors that exceed the authority given to them by the MOA/AOA, but remain within the general powers of the company. Since the company itself could have authorized the act, the shareholders can ratify it by passing an ordinary or special resolution in a general meeting. Example: A director entering into a major contract without board approval - shareholders can approve and ratify it.

Effects/Consequences of Ultra Vires Acts:

- **Void ab initio** - The act is treated as if it never happened. It has no legal effect from the very beginning and creates no rights or obligations for any party.
- **No estoppel** - The company cannot be stopped (estopped) from denying the validity of an ultra vires act, even if the other party acted in good faith relying on it.
- **Injunction** - Any member of the company can approach the court and obtain an injunction (court order) to prevent the company from carrying out or continuing an ultra vires act.
- **Personal liability of directors** - Directors who authorized or carried out the ultra vires act may be held personally liable to compensate the company for any financial loss caused by their unauthorized actions.

- No ratification - An ultra vires act cannot be made valid by any resolution, even if 100% of the shareholders unanimously agree. The defect is fundamental and incurable.

- Subrogation - If money borrowed under an ultra vires transaction was used to pay off a lawful debt of the company, the lender steps into the shoes of the original creditor (subrogation) and can recover that amount from the company.

Re Wrexham Mold & Connah's Quay Railway Co. - Applied the doctrine of subrogation.

Exceptions/Remedies Available:

- Property acquired under ultra vires transaction - The company's right over such property is protected.
- Doctrine of Subrogation (as above).
- Personal action against directors for breach of duty.

Modern Position under Companies Act, 2013:

Section 4(1)(c) requires every company to state its objects in the MOA. Section 245 allows members to file applications before NCLT for oppression. The doctrine remains relevant but its harshness is mitigated by liberal interpretation of the objects clause.

Q3. Define Articles of Association, Its Contents, and Differences with MOA.

Definition:

Articles of Association (AOA) are the rules, regulations, and bye-laws that govern the internal management and administration of a company. They define the relationship between the company and its members and between members inter se.

Section 2(5) of the Companies Act, 2013 defines "articles" as the articles of association of a company as originally framed or as altered from time to time.

Legal Nature:

Under Section 10, the AOA constitutes a contract between: (a) The company and its members, and (b) The members inter se.

Contents of Articles of Association (Table F, Schedule I):

- Share Capital: Specifies the different classes of shares (equity, preference), the rights attached to each class, and the procedure for variation of those rights.
- Lien on Shares: Grants the company the right to retain partly paid shares as security for any money owed by the shareholder to the company.
- Transfer and Transmission of Shares: Lays down the procedure for transferring shares between parties. Private companies may impose restrictions on transfer to maintain control.
- Alteration of Capital: Covers rules for increasing, consolidating, or sub-dividing share capital through resolutions at general meetings.
- Buy-back of Shares: Provides the framework for the company to repurchase its own shares from existing shareholders, subject to conditions under Section 68.
- General Meetings: Regulates the conduct of Annual General Meetings (AGM) and Extraordinary General Meetings (EGM), including notice periods, quorum requirements, proxy rules, voting, and poll procedures.
- Board of Directors: Deals with appointment, qualification, remuneration, powers, duties, and conduct of Board meetings.
- Dividends: Governs the declaration, payment, and distribution of final and interim dividends to shareholders.
- Accounts and Audit: Specifies rules for maintaining proper books of accounts, financial statements, and the appointment and role of auditors.
- Borrowing Powers: Defines the limits and authority of the Board to borrow money on behalf of the company.
- Winding Up: Contains provisions relating to the voluntary or compulsory dissolution of the company.
- Indemnity: Provides for indemnification of directors and officers against liabilities incurred while acting in good faith on behalf of the company.

Differences between MOA and AOA:

Basis	Memorandum of Association	Articles of Association
Definition	Charter/Constitution of the company	Bye-laws/Internal rules
Purpose	Defines objects, powers, scope	Regulates internal management
Relation	Relationship with outside world	Relationship among members & company

Status	Supreme document	Subordinate to MOA and the Act
Alteration	Difficult; requires NCLT/Govt. approval	Easier; by special resolution (Sec. 14)
Ultra vires	Acts beyond MOA are void	Acts beyond AOA can be ratified
Compulsory	Must be filed by every company	Table F applies if not filed
Clauses	6 fixed clauses	No fixed number of clauses
Third parties	Constructive notice to outsiders	Indoor Management Doctrine applies

Q4. Explain the Doctrine of Indoor Management and Its Exceptions.

Meaning:

The Doctrine of Indoor Management (also called the Turquand Rule) states that persons dealing with a company are entitled to assume that the internal proceedings and regulations of the company have been duly complied with. They need not inquire into the regularity of internal proceedings. This is the converse of the Doctrine of Constructive Notice.

Origin:

Royal British Bank v. Turquand (1856)

The company's articles authorized directors to borrow on bonds with the consent of a general resolution. Directors issued a bond to Turquand without passing such a resolution. Held: Turquand could enforce the bond. He was entitled to presume that the necessary resolution had been passed. Internal irregularities were the company's problem, not his.

Rationale:

- The outsider has no means of knowing internal procedures - Internal records like board minutes and resolutions are private documents not available for public inspection, so third parties cannot verify compliance.
- MOA and AOA are public documents, but minutes and resolutions are not - While outsiders are deemed to have constructive notice of MOA/AOA (which are filed with ROC), they have no access to internal meeting records.
- Business efficacy requires protection of third parties - If every outsider had to verify every internal step before dealing with a company, commercial transactions would become impossibly slow and impractical.

Indian Cases:

Lakshmi Ratan Cotton Mills v. J.K. Jute Mills (AIR 1957) - Confirmed the Turquand Rule in India.

Official Liquidator, Manasube & Co. (1959) - Applied the doctrine.

Exceptions to the Doctrine:

1. Knowledge of Irregularity (Actual Notice)

If the outsider has actual knowledge that the internal procedure was not followed, the doctrine does not apply.

Howard v. Patent Ivory Manufacturing Co. (1888)

2. Negligence / Suspicious Circumstances

If the circumstances are suspicious and a reasonable person would have made inquiry, the doctrine won't protect.

Anand Bihari Lal v. Dinshaw & Co. (1942)

3. Forgery

A forged document is a nullity; the doctrine cannot validate it.

Ruben v. Great Fingall Consolidated (1906) - A share certificate forged by the company secretary did not bind the company.

4. Acts Beyond the Scope of Apparent Authority

If the agent acted beyond what could reasonably be believed to be within their authority.

5. No Knowledge of the Articles

If the person dealing with the company had not read the public documents and was unaware of the power claimed.

6. Acts Ultra Vires the Company or the Act

The doctrine only protects procedural irregularities, not void or illegal acts.

Q5. Define Share. Types of Shares and Procedure for Issue.

Definition:

Section 2(84) of the Companies Act, 2013 defines "share" as a share in the share capital of a company and includes stock.

Justice Farwell in Borland's Trustee v. Steel Bros. & Co. (1901): "A share is the interest of a shareholder in the company measured by a sum of money, for the purpose of liability and interest."

A share is a movable property (Section 44), transferable in the manner provided by the articles.

Types of Shares (Section 43):

The share capital of a company shall be of two kinds:

A. Equity Shares:

Shares that are not preference shares. Two sub-types:

- With voting rights - These are ordinary equity shares that carry full voting rights at general meetings. Each share typically entitles the holder to one vote on every resolution.
- With differential rights as to dividend, voting or otherwise - Under Section 43(a)(ii), companies can issue equity shares where some shares get higher dividends but fewer votes, or vice versa. This is subject to prescribed conditions and cannot exceed 26% of total post-issue paid-up equity capital.

Rights of equity shareholders:

- Voting rights proportional to paid-up capital - Every equity shareholder can vote on company resolutions, and the weight of their vote is based on the number of shares they hold relative to total paid-up capital.
- Right to dividend (if declared) - When the Board recommends and the AGM declares a dividend, equity shareholders are entitled to receive their share, though only after preference shareholders have been paid.
- Right to surplus on winding up (after preference shareholders) - When a company is dissolved, after paying off all debts and returning capital to preference shareholders, whatever remains (surplus assets) is distributed among equity shareholders.

B. Preference Shares (Section 43(b)):

Shares carrying preferential rights regarding: (1) Payment of dividend at a fixed rate before equity dividend, and (2) Repayment of capital with priority on winding up.

Types of Preference Shares:

- Cumulative - If the company cannot pay the fixed dividend in a particular year, the unpaid amount accumulates as arrears and MUST be paid in future years before any equity dividend is declared.
- Non-Cumulative - The right to dividend lapses if not declared in a given year. Unpaid dividends do NOT carry forward to the next year.
- Participating - In addition to the fixed preferential dividend, these shareholders also get a share in the surplus profits remaining after equity shareholders have been paid a certain rate of dividend.
- Non-Participating - These shareholders are entitled ONLY to their fixed rate of dividend and nothing more, regardless of how much profit the company earns.
- Convertible - These shares can be converted into equity shares after a specified period or on a specified date, as per the terms of issue. This gives shareholders the benefit of both fixed income and future equity growth.

- Non-Convertible - These shares remain as preference shares throughout and cannot be converted to equity. They offer stable returns but no participation in equity upside.
- Redeemable - The company can buy back (redeem) these shares after a fixed period, returning the capital to the shareholder. Maximum redemption period is 20 years under Section 55.
- Irredeemable - Preference shares that are never redeemed. These are NOT allowed under the Companies Act, 2013; all preference shares must now be redeemable within 20 years.

Procedure for Issue of Shares:

1. Private Placement (Section 42):

Board resolution -> Special resolution -> Offer in Form PAS-4 -> Allotment within 60 days -> File return with ROC (Form PAS-3) within 15 days.

2. Public Offer / IPO (Sections 23-27):

Board meeting -> File Draft Red Herring Prospectus (DRHP) with SEBI -> Obtain SEBI approval -> Issue prospectus -> Open subscription -> Minimum subscription (Section 39) -> Allotment -> Listing.

3. Rights Issue (Section 62(1)(a)):

Offer first to existing shareholders in proportion to holdings -> Notice of at least 15 days -> If not accepted, board may dispose of shares.

4. Bonus Issue (Section 63):

Authorized by articles -> Ordinary resolution -> Out of free reserves/securities premium -> Cannot be issued in lieu of dividend.

General Steps for Allotment:

- Board meeting to approve allotment - The Board of Directors must convene a meeting and pass a resolution authorizing the allotment of shares to specific applicants.
- Pass necessary resolution - Depending on the type of issue, an ordinary or special resolution must be passed at a general meeting (e.g., special resolution for private placement under Section 42).
- Allotment of shares - Shares are formally allocated to the applicants. Allotment letters are dispatched to the successful applicants communicating their entitlement.
- Issue share certificates within 2 months (Section 56) - The company must deliver share certificates to the allottees within 2 months from the date of allotment as proof of ownership.
- File return of allotment with ROC within 30 days (Section 39(4)) - A return of allotment in prescribed form must be filed with the Registrar of Companies within 30 days, containing details of shares allotted.

Q6. Dividend - Definition, Types, Procedure, and Rules.

Definition:

Dividend is the portion of profits distributed by a company to its shareholders. It is the return on investment for shareholders. Section 2(35) defines 'dividend' to include interim dividend.

Types of Dividends:

- **Final Dividend:** This is the dividend declared at the Annual General Meeting (AGM) based on the recommendation of the Board of Directors. Once declared by the shareholders at the AGM, it becomes a legally enforceable debt owed by the company to shareholders and must be paid within 30 days.
- **Interim Dividend:** This is a dividend declared by the Board of Directors between two AGMs, without waiting for the year-end. It is paid out of the surplus in the profit and loss account and the profits of the current financial year (Section 123(3)). If the company incurs a loss by year-end, the interim dividend cannot exceed the rate of dividend declared for the preceding three years.
- **Stock Dividend (Bonus Shares):** Instead of distributing cash, the company issues additional free shares to existing shareholders out of accumulated profits or reserves. This capitalizes the reserves and increases the number of shares held, but does not change the overall value of the shareholder's holding.
- **Dividend in Kind:** This is a rare form of dividend where the company distributes assets other than cash (such as property, products, or securities) to shareholders. It is uncommon in India and is generally not favored due to valuation and tax complications.

Procedure for Declaration of Dividend (Section 123):

Step 1: Board Recommendation

Board of Directors recommends the rate of dividend. Board may declare interim dividend.

Step 2: Declaration at AGM

Final dividend must be declared at the Annual General Meeting. Shareholders may declare a lesser dividend than recommended, but not more.

Step 3: Sources of Dividend (Section 123(1))

Dividend can be paid only out of: (a) Profits of the company for the current year after depreciation, (b) Profits of any previous financial year(s) remaining undistributed, (c) Out of both (a) and (b), (d) Out of money provided by Central/State Government in pursuance of a guarantee.

Step 4: Transfer to Reserves

Company may transfer such percentage of profits to reserves as it deems fit before declaring dividend.

Step 5: Payment

Must be paid within 30 days from the date of declaration (Section 127). Paid by cheque, warrant, or electronic mode. Deposited in a scheduled bank in a separate Dividend Account within 5 days of declaration.

Rules for Distribution by Public Company:

- **Adequacy of Depreciation** - Dividend can only be declared after providing for depreciation as per Schedule II (Section 123(1)). This ensures the company maintains the value of its assets before distributing profits.

- Transfer to Unpaid Dividend Account - If any declared dividend remains unpaid or unclaimed for 30 days after declaration, the company must transfer such amount to a special 'Unpaid Dividend Account' in a scheduled bank within 7 days (Section 124(1)).
- Transfer to IEPF - If the dividend remains unpaid/unclaimed for 7 consecutive years in the Unpaid Dividend Account, the entire amount must be transferred to the Investor Education and Protection Fund (IEPF) established by the Central Government (Section 124(5)). Shareholders lose their claim after this transfer.
- No dividend out of capital - A company is strictly prohibited from paying dividends out of its capital. Dividends must come only from profits. Paying from capital would erode the company's asset base and harm creditors.
- Past losses to be set off - If a company wants to pay dividend out of previous years' accumulated profits, it must first set off the losses and depreciation not provided for in the current financial year against those accumulated profits.
- No dividend on calls in arrears - Dividend is payable only on the paid-up portion of share capital. If a shareholder has not paid calls due on their shares, they cannot receive dividend on the unpaid portion.

Punishment for Non-Payment (Section 127):

If dividend not paid within 30 days: Directors liable for imprisonment up to 2 years; Fine of Rs.1,000 per day of default; Company liable to pay interest @18% p.a.

Q8. Appointment and Removal of Directors under Companies Act, 2013.

Appointment of Directors:

Eligibility:

- Must have DIN (Director Identification Number) - Section 152(3): Every person who is to be appointed as a director must first obtain a unique Director Identification Number from the Central Government. This is a lifetime number used to track directorships across all companies.
- Must not be disqualified under Section 164: The person must not fall under any of the disqualification grounds (unsound mind, undischarged insolvent, convicted of offence, etc.) specified in Section 164.

Minimum Number (Section 149):

- Public Company: Minimum 3 directors - Since public companies deal with public money and have wider accountability, the law requires at least 3 directors for proper governance and checks.
- Private Company: Minimum 2 directors - Private companies are closely held, so a smaller board is sufficient for decision-making.
- One Person Company: Minimum 1 director - Since OPC has only one member, one director (usually the member themselves) is enough.
- Maximum for any company: 15 directors (can be increased by special resolution) - To prevent excessively large boards, the Act caps it at 15 but allows companies to exceed this limit if shareholders approve by special resolution.

Types of Appointments:

1. First Directors (Section 152(1)):

Named in the Articles of Association. If not named, subscribers to the MOA are deemed first directors.

2. Appointment at General Meeting (Section 152(2)):

Every director (other than independent director) appointed by ordinary resolution at a general meeting. 2/3rd of directors of public companies must be liable to retire by rotation.

3. Rotational Directors (Section 152(6)(7)):

1/3rd of rotational directors retire at every AGM. Eligible for re-appointment.

4. Additional Director (Section 161(1)):

Appointed by the Board if authorized by articles. Holds office up to the next AGM.

5. Alternate Director (Section 161(2)):

Appointed in place of a director absent from India for more than 3 months. Vacates when original director returns.

6. Nominee Director (Section 161(3)):

Appointed by third parties (banks, financial institutions) under an agreement or provision of law.

7. Independent Directors (Section 149(4)):

Every listed public company: minimum 1/3rd independent directors. Appointed by ordinary resolution; tenure of 5 years, eligible for one more term.

8. Woman Director (Section 149(1) + Rule 3):

Prescribed class of companies must have at least one woman director.

Disqualifications (Section 164):

- Unsound mind (declared by court) - A person who has been adjudged to be of unsound mind by a competent court cannot serve as a director, as they lack the mental capacity to make sound business decisions.
- Undischarged insolvent - A person who has been declared bankrupt/insolvent and has not yet been discharged (i.e., debts not yet settled) is barred, since they failed to manage their own finances.
- Convicted of offence (imprisonment $\geq$ 6 months, within last 5 years) - A person convicted of any offence involving moral turpitude or otherwise, and sentenced to at least 6 months imprisonment, is disqualified for 5 years from the date of conviction.
- Order of court/tribunal disqualifying - If any court or tribunal has specifically passed an order disqualifying a person from being appointed as a director, they cannot serve until the disqualification period expires.
- Not paid calls on shares for 6 months - If a person holding shares in the company has failed to pay calls (amounts due on partly-paid shares) for 6 months or more, they are disqualified from being a director.
- Convicted under Section 188 (related party transactions) - A person convicted for entering into related party transactions that are detrimental to the company is disqualified, as it demonstrates a conflict of interest.

Removal of Directors (Section 169):

Procedure:

- Ordinary Resolution with special notice (14 days to the company, then to the director) - A member intending to move the resolution must give 14 days' special notice to the company, and the company must then forward a copy of that notice to the concerned director so they can prepare their defense.
- The concerned director has the right to be heard at the meeting - The director proposed to be removed must be given a fair opportunity to present their case before the shareholders vote, upholding principles of natural justice.
- The director may make written representation, which must be circulated to members - If the director wants, they can submit a written statement explaining their position, and the company is obligated to send this to all members before or at the meeting.

Key Points:

- Company may remove a director before expiry of term by ordinary resolution after special notice - This means even if a director was appointed for a fixed term, the shareholders can cut short that term by passing an ordinary resolution (simple majority), provided the special notice procedure is followed.
- Does NOT apply to directors appointed by Tribunal (Section 242) - Directors appointed by NCLT under oppression and mismanagement proceedings are protected from removal by shareholders, as the Tribunal appointed them to safeguard minority interests.
- Removal does not deprive the director of compensation/damages if entitled under contract - If the removed director had a service contract with the company promising compensation for early termination, that contractual right survives the removal.
- Cannot remove a director appointed by proportional representation (Section 163) - Directors appointed through the system of proportional representation (which gives minority shareholders board representation) are shielded from removal under Section 169 to protect minority rights.

Vacation of Office (Section 167):

A director's office automatically becomes vacant if: he incurs any disqualification under Section 164; absents from all meetings for 12 months; acts in contravention of Section 184 (disclosure of interest); fails to disclose interest under Section 184; becomes disqualified by order of court; is convicted and sentenced to imprisonment of 6 months or more.

Q9. Majority Rule and Its Exceptions.

The Principle - Foss v. Harbottle (1843):

The rule in Foss v. Harbottle establishes two fundamental principles:

- **Proper Plaintiff Rule:** If a wrong is done to the company, only the company (and not individual shareholders) can sue.
- **Majority Rule:** If the alleged wrong can be ratified by a simple majority of members, no individual member can bring an action.

Rationale:

- Company is a separate legal entity; wrongs against it belong to it - Since the company has its own legal personality, any harm done to the company is the company's injury, not the individual shareholder's. Only the company can seek remedy for its own wrongs.
- Courts should not interfere with internal management - The judiciary respects the autonomy of corporate decision-making. If shareholders can resolve a matter through voting, courts prefer not to step in and micromanage company affairs.
- What the majority can confirm, the minority cannot complain about - If an act is within the company's powers and can be approved by a simple majority vote, then even if some shareholders disagree, they cannot bring a lawsuit to challenge it since the majority's will prevails.
- Multiplicity of suits must be avoided - If every individual shareholder could sue for wrongs done to the company, it would lead to hundreds of identical lawsuits clogging the courts. One action by the company itself is sufficient.

Exceptions to the Rule (When Minority Can Sue):

1. Ultra Vires and Illegal Acts

If the act complained of is ultra vires the company or illegal, no majority can ratify it. Any single member may bring an action.

2. Fraud on the Minority

When those in control commit a fraud on the minority and use their power to benefit themselves at the expense of the minority.

Menier v. Hooper's Telegraph Works (1874)

Cook v. Deeks (1916) - Directors diverted a contract meant for the company to themselves.

3. Acts Requiring Special Majority

If the act requires a special resolution (75% majority) or unanimous consent, and it was done by ordinary majority, any member can challenge.

4. Infringement of Individual/Personal Rights

When a member's personal rights (as distinct from corporate rights) under the MOA/AOA are violated.

Pender v. Lushington (1877) - Right to vote is a personal right.

5. Wrongdoers in Control

When the wrongdoers are in control of the company and prevent the company from suing - a derivative action is permitted.

6. Independent Wrong to the Member

If the act constitutes a wrong to the member in their personal capacity (not merely as a shareholder).

Statutory Protection of Minority under Companies Act, 2013:

- **Oppression and Mismanagement (Sections 241-246):** Members holding at least 1/10th of total shares (or 100 members, whichever is less) may file an application before the NCLT if the company's affairs are being conducted in a manner prejudicial to their interests or the public interest.
- **Class Action Suit (Section 245):** Members or depositors may file a class action suit before NCLT against the company, its directors, auditors, or advisors for any act that is prejudicial to the interests of the company or its members as a whole.
- **Right to Apply for Winding Up:** Under Sections 271-272, members can petition the NCLT for compulsory winding up of the company on grounds such as just and equitable ground, fraud, or deadlock in management.
 - **Right to Inspect Records, Demand Poll, Requisition Meeting** - Minority shareholders have statutory rights to inspect the company's registers and books, demand a poll on any resolution at a general meeting, and requisition an EGM if they hold at least 1/10th of voting power.

Q10. Provisions Regarding Compromise under Companies Act, 2013.

Meaning:

A compromise or arrangement (Sections 230-232) refers to any agreement between a company and its creditors/members (or any class of them) for reorganization of their rights. It includes mergers, amalgamations, demergers, and debt restructuring.

Who Can Apply (Section 230):

- The company - The Board of Directors can authorize an application on behalf of the company itself to propose a scheme of compromise or arrangement.
- Any creditor or class of creditors - Secured or unsecured creditors who are owed money by the company can propose a compromise to restructure the debt.
- Any member or class of members - Shareholders of the company can apply to reorganize their rights, especially in cases of mergers or demergers.
- The liquidator (if company is being wound up) - If the company is already in the process of winding up, the liquidator appointed to manage the dissolution can propose a compromise to rescue the company or settle debts.

Application to: National Company Law Tribunal (NCLT)

Procedure:

Step 1: Application to NCLT (Section 230(1))

Application for calling meetings of creditors/members.

Step 2: NCLT Orders Meeting (Section 230(3))

Tribunal directs meetings to be called. Notice of meeting: 30 days (along with statement disclosing details). Notice must also be sent to Central Government, Income Tax authorities, RBI, SEBI, ROC, Stock Exchange, OL, and sectoral regulators.

Step 3: Disclosure Requirements (Section 230(3))

Statement must disclose: all material facts; latest auditor's report; effect of compromise on directors, KMPs, debenture holders; valuation report (if share exchange involved).

Step 4: Approval at Meeting (Section 230(6))

Must be approved by majority in number representing 3/4th in value of creditors/members (or class thereof) present and voting.

Step 5: Sanction by NCLT (Section 230(7))

If approved, petition to NCLT for sanction. NCLT may sanction if satisfied that it is fair, just, and not against public interest. The compromise is binding on the company, all creditors/members, and the liquidator.

Step 6: Filing with ROC

Certified copy of order must be filed with ROC within 30 days.

Fast Track Merger (Section 233):

Small companies and holding-subsidiary companies may use a fast-track merger process. Requires approval of members holding 90% in value.

Sections 231-232 - Tribunal Powers:

- Section 231: If the compromise or arrangement sanctioned by the Tribunal cannot be worked satisfactorily (i.e., it fails in practice), the Tribunal has the power to order the winding up of the company.
- Section 232 (Merger & Amalgamation): The Tribunal has wide powers including ordering transfer of property and liabilities from one company to another, allotment of shares in the transferee company to members of the transferor, continuation of pending legal proceedings, and dissolution of the transferor company without the need for a separate winding up process.

Key Protections:

- Objection by persons holding $\geq 10\%$ of shareholding - Shareholders holding at least 10% of the issued share capital can file objections before the Tribunal against the proposed scheme, ensuring minority interests are heard.
- Central Government can object within 30 days - The Central Government has the right to raise objections to any scheme within 30 days if it finds the scheme is against public interest or involves any fraud.
- Tribunal can modify or impose conditions - The NCLT is not bound to accept the scheme as-is; it can modify the terms or impose additional conditions to make the scheme fair and equitable for all parties.
- Accounting treatment as per prescribed standards - The financial impact of the compromise must be recorded in the company's books as per the accounting standards prescribed under Section 133, ensuring transparency.

Q11. Grounds for Compulsory Winding Up by Tribunal.

Petition for Winding Up (Section 271):

A petition may be presented by: the company, any contributory, all or any of the creditors, the Registrar, any person authorized by the Central Government, or the Central/State Government (for Section 8 companies).

Grounds for Compulsory Winding Up:

1. Special Resolution by the Company (Section 271(a))

The company has by special resolution resolved to be wound up by the Tribunal.

2. Company Acted Against Sovereignty/Integrity of India (Section 271(b))

The company has acted against the sovereignty and integrity of India, the security of the State, friendly relations with foreign States, public order, decency or morality.

3. Failure to File Financial Statements/Annual Returns (Section 271(c))

The company has not filed financial statements or annual returns for immediately preceding 5 consecutive financial years.

4. Fraud (Section 271(d))

The company has acted in a fraudulent manner or the affairs are conducted fraudulently, or the company was formed for fraudulent and unlawful purpose, or the persons concerned in its management have been guilty of fraud, misfeasance, or misconduct.

5. Just and Equitable Ground (Section 271(e))

The Tribunal is of the opinion that it is just and equitable that the company should be wound up.

"Just and Equitable" - Illustrative Grounds (Judicial Interpretation):

- Deadlock in management - When two equal groups of shareholders/directors are completely unable to agree on any decision, leading to total paralysis of the company's functioning and no business can be carried on.
- Loss of substratum - When the main object or purpose for which the company was formed has become impossible to achieve or has completely failed, making the company's continued existence pointless.
- Bubble companies - Companies that were formed with no genuine or legitimate business purpose, often created to defraud investors or for speculative purposes with no real assets or operations.
- Oppression of minority - When the majority shareholders continuously and persistently oppress the minority in a manner that makes it unfair for the minority to remain as members, and alternative remedies under Sections 241-246 are inadequate.
- Loss of confidence - When there is a complete lack of probity, honesty, and fair dealing in the management of the company's affairs, destroying the trust and confidence that members placed in those running the company.
- Quasi-partnership companies - In small private companies that are essentially partnerships in nature (built on mutual trust), when the relationship of trust and confidence between the members breaks down irretrievably.

Important Cases:

***Ebrahimi v. Westbourne Galleries Ltd. (1973)* - Just and equitable winding up ordered in quasi-partnership.**

***Loch v. John Blackwood Ltd. (1924)* - Failure to hold meetings, present accounts justified winding up.**

Procedure (Section 272):

- Petition filed before NCLT - Any eligible person (company, creditor, contributory, Registrar, or Central Government) files a petition before the National Company Law Tribunal stating the grounds for winding up.
- NCLT may pass order of winding up or dismiss or make any other order - The Tribunal has full discretion to either accept and order winding up, reject the petition, or pass any interim/alternative order it deems appropriate.
- NCLT must be satisfied that grounds are made out - The Tribunal will not order winding up unless it is convinced, based on evidence, that one or more statutory grounds under Section 271 have been established.
- Order of winding up deemed to commence from date of petition - Once winding up is ordered, it is treated as having started from the date the petition was originally filed, not the date of the order. This prevents disposal of assets in the interim period.
- Company Liquidator appointed - The Tribunal appoints an Official Liquidator or an insolvency professional as the Company Liquidator to take charge of the company's assets, settle debts, and distribute remaining assets.

Q12. NCLT and NCLAT - Constitution, Procedure, and Powers.

National Company Law Tribunal (NCLT):

Constitution (Sections 407-408):

Established by the Central Government by notification. Consists of a President and such number of Judicial and Technical Members as prescribed.

Qualifications:

- President: Must be or have been a Judge of a High Court for 5 years
- Judicial Member: Judge of HC for 5 years OR qualified for appointment as HC Judge OR District Judge for 5 years OR Indian Legal Service Grade I for 3 years
- Technical Member: Practiced as CA/CS/Cost Accountant for 15 years OR served as Registrar/Secretary Grade I for 5 years OR practiced law for 10 years OR ICLS Grade I with 15 years' experience

Tenure: 5 years or until age 65, whichever is earlier (eligible for reappointment). Principal Bench in New Delhi; other benches at various locations.

Jurisdiction and Powers (Sections 408-433):

- Oppression and mismanagement (Sections 241-246) - Hears applications from minority shareholders who allege that the company's affairs are being conducted in a manner prejudicial to their interests.
- Compromises, arrangements, amalgamations (Sections 230-232) - Sanctions schemes of compromise, mergers, demergers, and amalgamations between companies and their creditors/members.
- Class action suits (Section 245) - Entertains suits filed by members or depositors against the company, directors, auditors, or advisors for acts prejudicial to the company's interests.
- Compulsory winding up (Sections 271-274) - Orders dissolution of companies on grounds like fraud, just and equitable ground, failure to file returns, etc.
- Revival and rehabilitation of sick companies - Handles applications for revival of companies that are unable to pay debts and need restructuring.
- Reduction of share capital (Section 66) - Approves proposals by companies to reduce their share capital, ensuring creditors' interests are protected.
- Variation of shareholders' rights (Section 48) - Adjudicates disputes when a company seeks to vary the rights attached to different classes of shares.
- Conversion of public company to private (Section 14) - Approves the conversion of a public company into a private company by alteration of articles.

Powers of Civil Court (Section 424):

- Summoning and enforcing attendance of persons - Can compel witnesses and parties to appear before the Tribunal.
- Requiring discovery and production of documents - Can order parties to disclose and produce relevant documents for examination.
- Receiving evidence on affidavit - Can accept sworn written statements as evidence instead of requiring oral testimony.
- Issuing commissions for examination of witnesses - Can appoint commissioners to record the testimony of witnesses who cannot appear in person.

Procedure (Section 424):

Not bound by CPC but guided by principles of natural justice. May regulate its own procedure. Must dispose of cases expeditiously. Proceedings conducted in summary manner.

National Company Law Appellate Tribunal (NCLAT):

Constitution (Section 410):

Established by Central Government. Consists of a Chairperson and Judicial and Technical Members.

Qualifications:

- Chairperson: Judge of the Supreme Court OR Chief Justice of a High Court
- Members: Same qualifications as NCLT members

Tenure: 5 years or until age 67, whichever is earlier.

Jurisdiction (Sections 410-421):

- Hears appeals from orders of NCLT (Section 421) - Any person aggrieved by an order of the NCLT may file an appeal before NCLAT to challenge or seek modification of that order.
- Appeal must be filed within 45 days (extendable by further 45 days) - The appellant has 45 days from the date of the NCLT order to file, and the NCLAT may grant an additional 45 days extension if sufficient cause is shown.
- Also appellate tribunal under Insolvency and Bankruptcy Code, 2016 (Section 61 IBC) - NCLAT hears appeals against orders passed by NCLT under the IBC relating to corporate insolvency resolution and liquidation.
- Also hears appeals from orders of Competition Commission of India - NCLAT serves as the appellate body for CCI decisions on anti-competitive agreements, abuse of dominance, and mergers.

Powers:

- Confirm, modify, or set aside the order of NCLT - Can uphold the original order, change its terms, or completely overturn it based on merits.
- Remand the case back to NCLT - Can send the case back to NCLT for fresh hearing or reconsideration if it finds the original proceedings were flawed.
- Pass any order it deems fit - Has wide discretionary powers to pass any order that justice requires in the circumstances.
- Same powers as Civil Court - Enjoys all the procedural powers of a civil court including summoning witnesses, ordering document production, etc.

Appeal from NCLAT:

Appeal lies to the Supreme Court within 60 days on a question of law (Section 423).

Q14. Constitution of Special Courts and Their Jurisdiction.

Constitution (Section 435):

The Central Government may, in consultation with the Chief Justice of the High Court, by notification, establish Special Courts for speedy trial of offences under the Companies Act.

Composition:

A Special Court shall be presided by a single judge appointed by the Central Government with the concurrence of the Chief Justice of the High Court. The judge shall be a person who is or has been a Sessions Judge or Additional Sessions Judge.

Jurisdiction (Section 436):

1. Subject Matter Jurisdiction:

All offences under the Companies Act, 2013 shall be triable only by the Special Court established for the area. This is an exclusive jurisdiction - no other court shall try such offences.

2. Territorial Jurisdiction:

The Special Court has jurisdiction over the area for which it is established by the notification of Central Government.

3. Nature of Offences Covered:

All offences punishable under the Companies Act - penalties, fines, imprisonment. Offences by companies, officers in default, directors, auditors, etc.

Procedure (Section 436):

Shall follow the procedure prescribed by the Code of Criminal Procedure, 1973 for trial of warrant cases by Magistrate. For offences punishable with imprisonment of 2 years or more - follows Sessions Court procedure.

Cognizance (Section 437):

No court shall take cognizance of any offence under this Act except on the complaint in writing of:

- The Registrar - The ROC who oversees company compliance and detects violations during inspections or review of filed documents.
- A shareholder of the company - Any member who has knowledge of an offence committed by the company or its officers can file a written complaint.
- A person authorized by the Central Government - The Government may specifically authorize any officer or person to file complaints for offences under the Act.

Compounding of Offences (Section 438):

- Certain offences can be compounded by NCLT or Regional Director - Compounding means settling the offence by paying a sum of money instead of going through a full criminal trial. Less serious offences can be compounded by the Regional Director, while more serious ones require NCLT approval.
- Offences punishable with imprisonment only (not fine) CANNOT be compounded - If the Act prescribes mandatory imprisonment with no option of fine, the offence is too serious to be settled by payment and must go through trial.
- Second/subsequent offences cannot be compounded - Repeat offenders are not allowed the benefit of compounding, as the law treats recidivism more seriously and requires full prosecution.

Appeals from Special Courts (Section 439):

Appeal from order of Special Court lies to the High Court in the manner prescribed by CrPC. High Court may exercise all powers conferred by CrPC for appeals.

Transfer of Cases (Section 436(2)):

Cases pending in any court before establishment of Special Court shall be transferred to the Special Court.

Exam Tips for 15-Mark Questions

- Always start with a definition + section number
- Quote at least 2-3 landmark cases per question
- Use headings and sub-headings for clarity
- Draw tables for comparisons (MOA vs AOA, types of shares, etc.)
- Conclude with current relevance under Companies Act, 2013
- Write approximately 1500-2000 words for a 15-mark answer

Best of Luck for Your Exam!